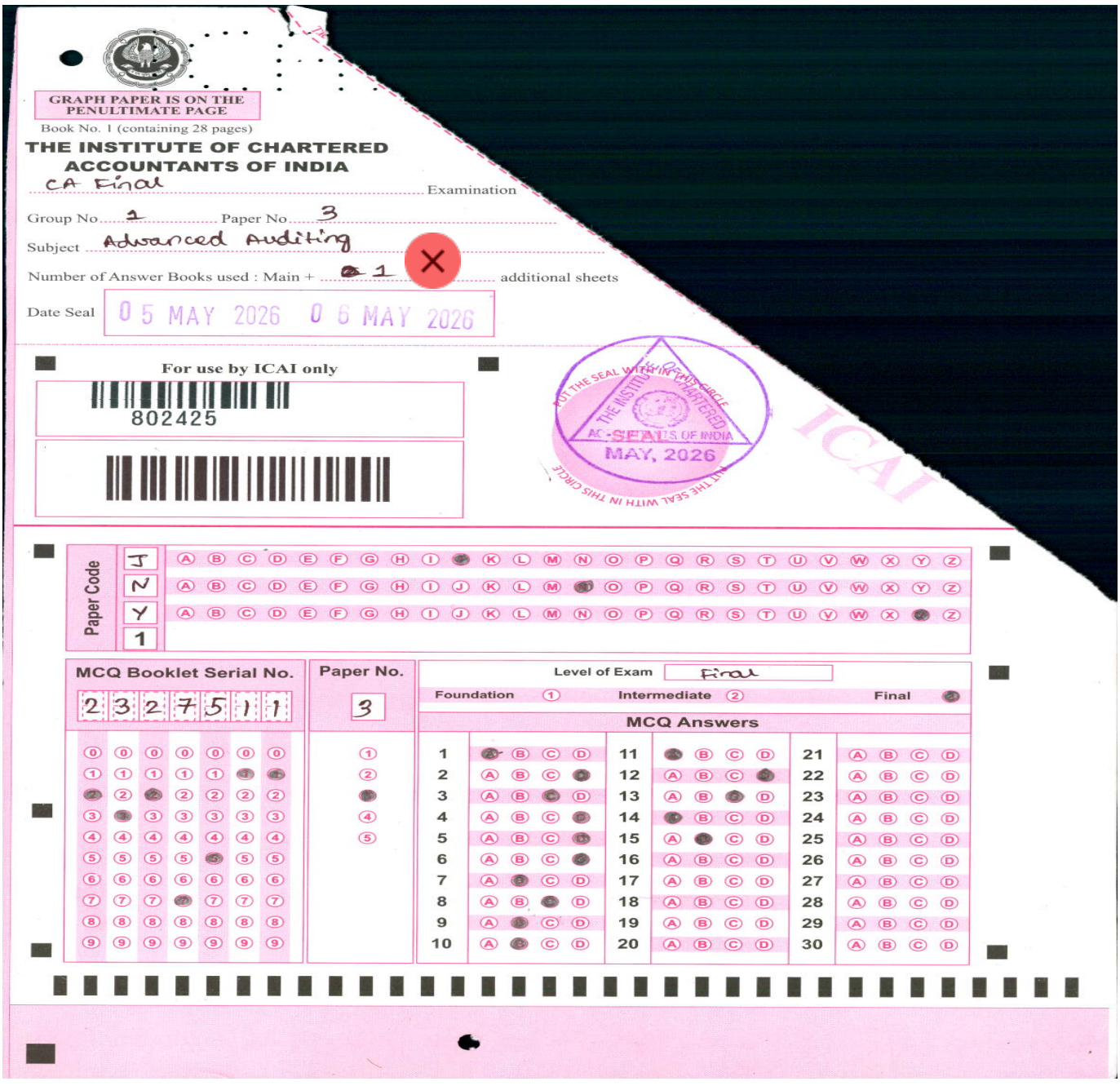
The Institute of Chartered Accountants of India

Code: FN3AP802425 **Total Marks:** 70

Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 48



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No 2 Paper No 3

Subject Advanced Auditing

Number of Answer Books used : Main + 01 additional sheets

Date Seal 05 MAY 2026 06 MAY 2026

For use by ICAI only

802425

PUT THE SEAL WITHIN THIS CIRCLE THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA SEAL MAY, 2026

Paper Code: J N Y 1

MCQ Booklet Serial No. 232751

Paper No. 3

Level of Exam: Final (Foundation ① Intermediate ② Final ●)

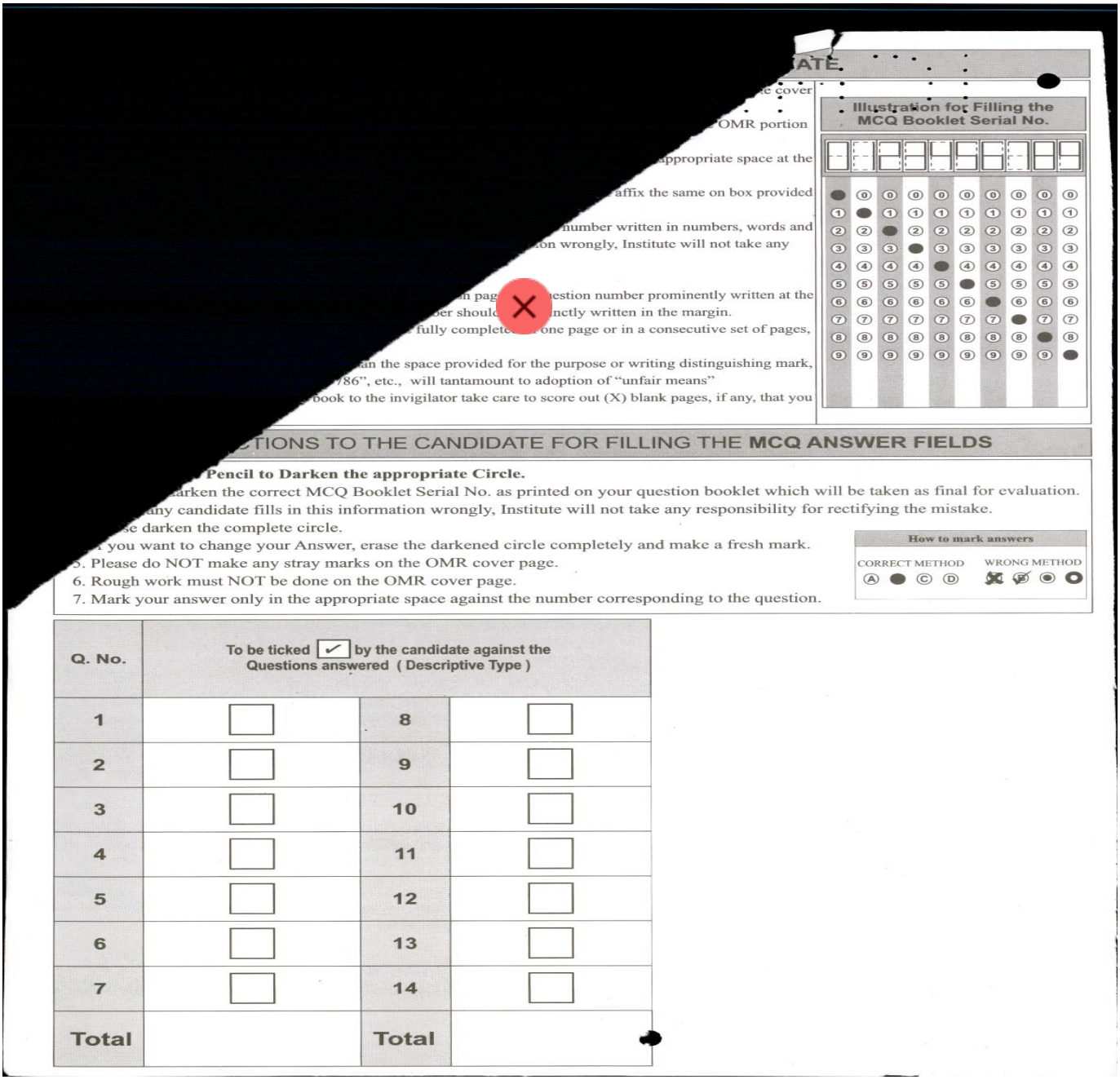
MCQ Answers

1 B	11 B	21 A	
2 A	12 A	22 A	
3 A	13 A	23 A	
4 A	14 B	24 A	
5 A	15 A	25 A	
6 A	16 A	26 A	
7 A	17 A	27 A	
8 A	18 A	28 A	
9 A	19 A	29 A	
10 A	20 A	30 A	

The Institute of Chartered Accountants of India

Code: FN3AP802425 **Total Marks:** 70

Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 48



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Illustration for Filling the MCQ Booklet Serial No.

TIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

Pencil to Darken the appropriate Circle.

arken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

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you want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.

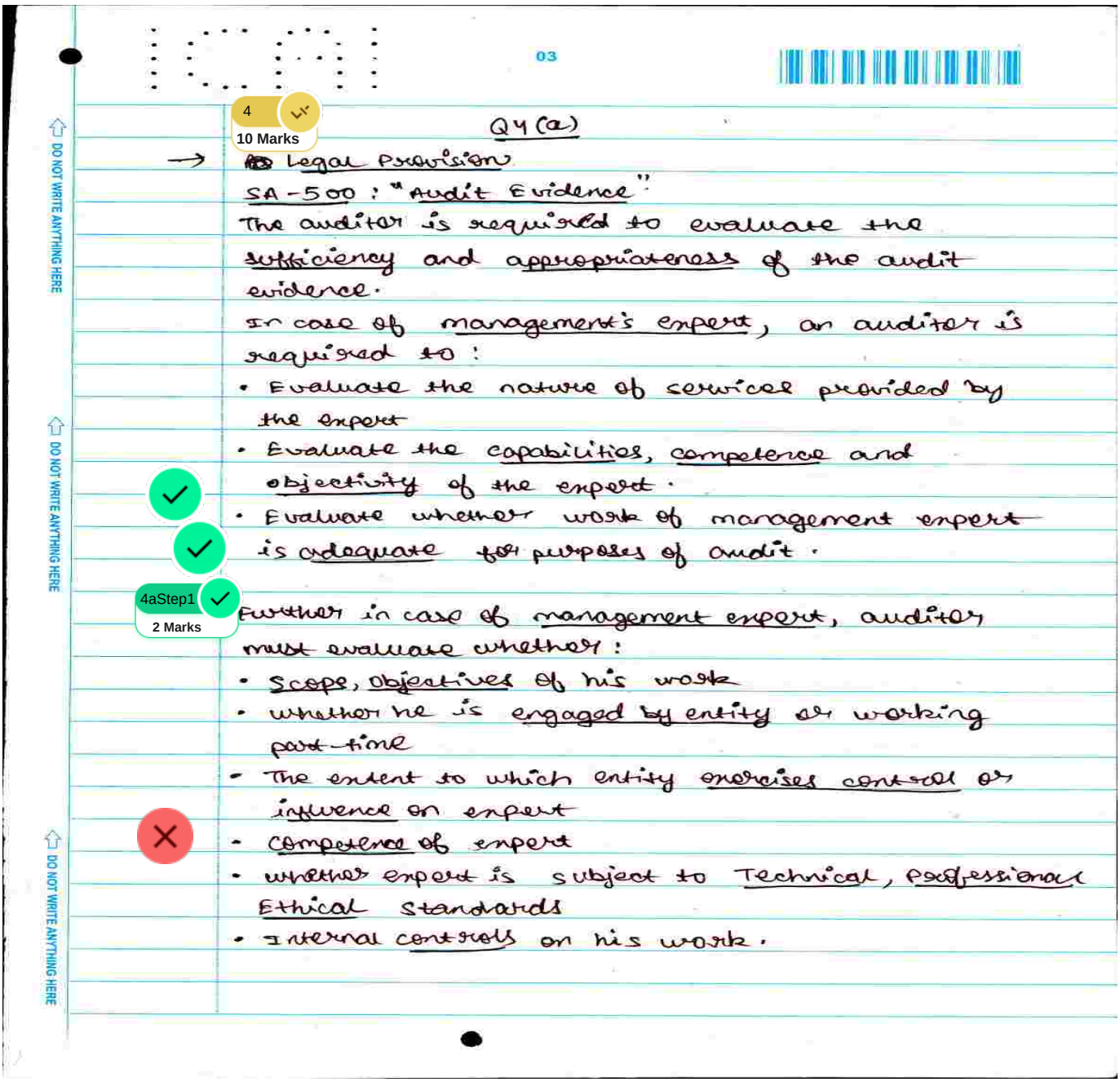
6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	



03

4 — 10 Marks

Q4 (a)

→ Legal Provision

SA-500 : "Audit Evidence"

The auditor is required to evaluate the sufficiency and appropriateness of the audit evidence.

In case of management's expert, an auditor is required to :

- Evaluate the nature of services provided by the expert
- Evaluate the capabilities, competence and objectivity of the expert.
- Evaluate whether work of management expert is adequate for purposes of audit.

4aStep1 — 2 Marks

Further in case of management expert, auditor must evaluate whether :

- Scope, objectives of his work
- whether he is engaged by entity or working part-time
- The extent to which entity exercises control or influence on expert
- Competence of expert
- whether expert is subject to Technical, Professional Ethical standards
- Internal controls on his work.

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04

To determine adequacy of work performed :

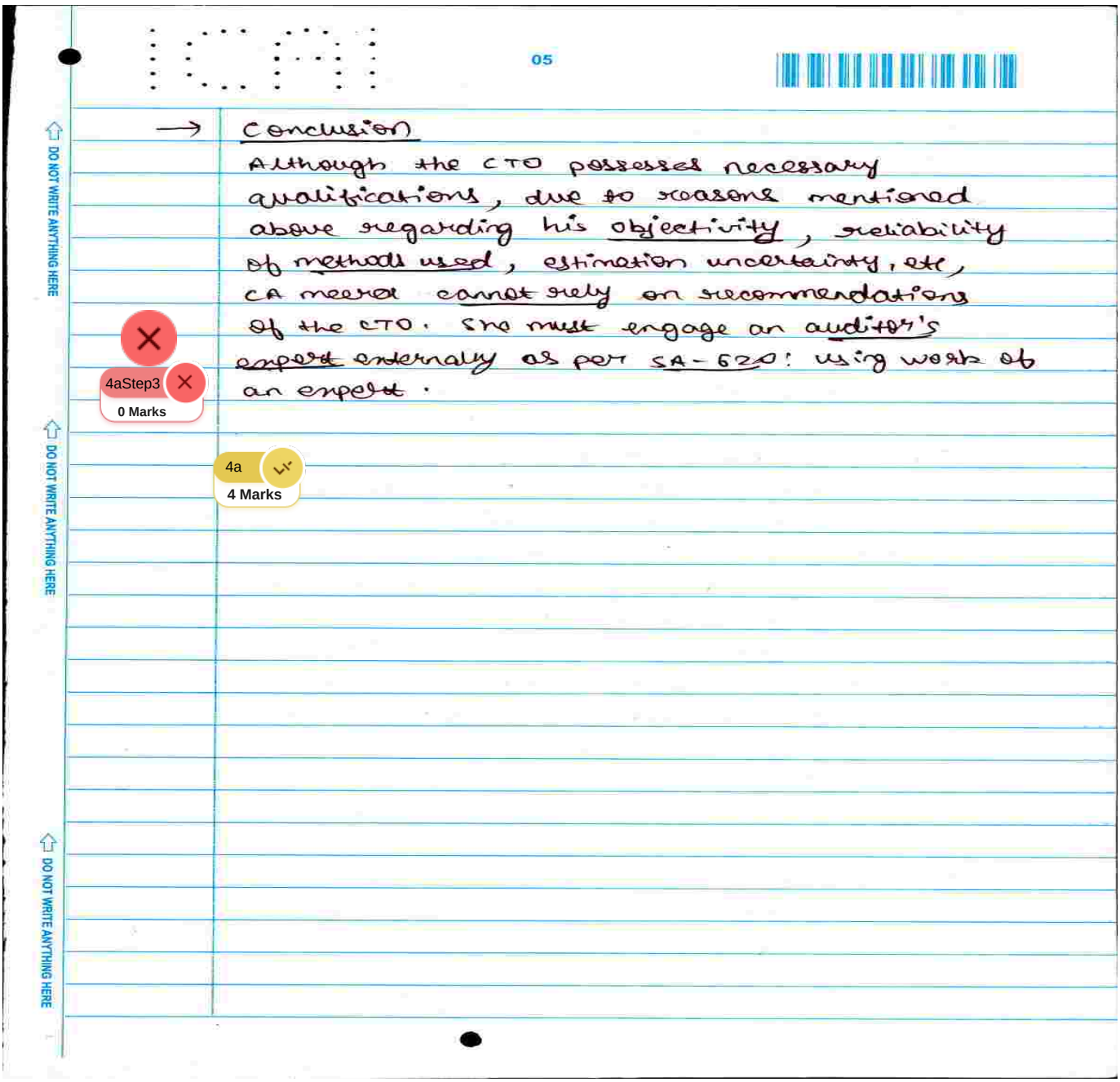
- completeness, Accuracy and Relevance of source data
- Relevance & Reasonableness of assumptions and methods
  - → whether a well-recognised model is used or internally developed model used
  - → whether applicable framework prescribes model,
- Relevance and Reasonableness of significant findings

→ Facts of case

- measurement of provision involves complex assumptions leading to significant estimation uncertainty.
- It is prepared by Internal CTO who has been in employment for two decades.
- Therefore, there is a significant doubt over expert's objectivity.
- Internally developed models are used for which no comparable external benchmarks are available. Therefore, the estimation method is NOT reliable.
- CTO's performance incentives are linked to company's profit targets. Therefore, he has a self-interest threat and his objectivity is impaired.

4aStep2
2 Marks

DO NOT WRITE ANYTHING HERE



05

→ Conclusion

Although the CTO possessed necessary qualifications, due to reasons mentioned above regarding his objectivity, reliability of methods used, estimation uncertainty, etc, CA meerut cannot rely on recommendations of the CTO. Sno must engage an auditor's expert externally as per SA-620 : using work of an expert.

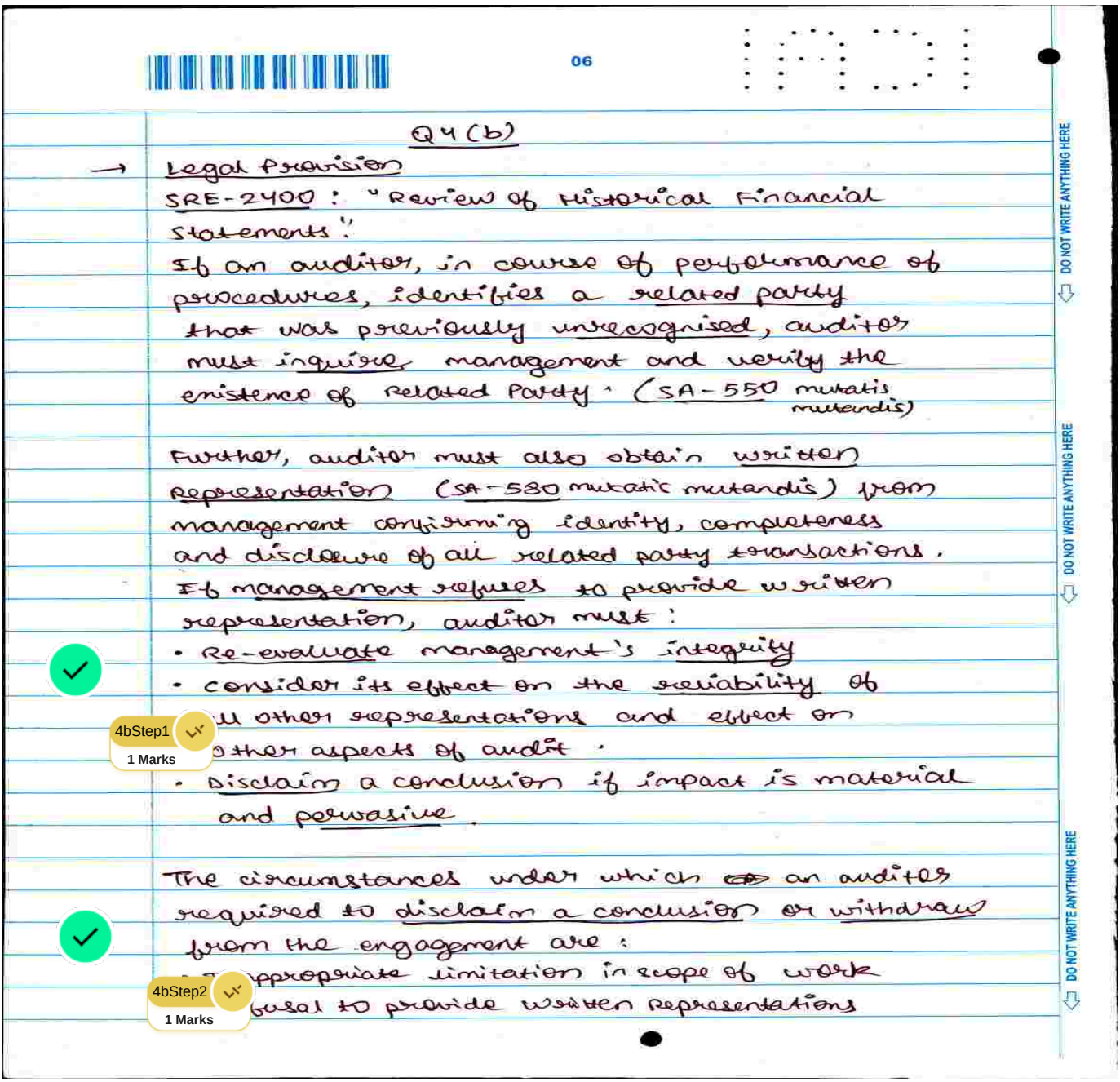
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4aStep3
0 Marks

4a
4 Marks



06

Q4 (b)

→ Legal Provision

SRE-2400 : "Review of Historical Financial Statements".

If an auditor, in course of performance of procedures, identifies a related party that was previously unrecognised, auditor must inquire management and verify the existence of Related Party. (SA-550 mutatis mutandis)

Further, auditor must also obtain written Representation (SA-580 mutatis mutandis) from management confirming identity, completeness and disclosure of all related party transactions.

If management refuses to provide written representation, auditor must :

- Re-evaluate management's integrity
- consider its effect on the reliability of all other representations and effect on other aspects of audit.
- Disclaim a conclusion if impact is material and pervasive.

4bStep1 1 Marks

The circumstances under which an auditor required to disclaim a conclusion or withdraw from the engagement are :

- Inappropriate limitation in scope of work
- Refusal to provide written representations

4bStep2 1 Marks

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07

- Lack of sufficient & appropriate evidence.

→ Facts of case

CA pranav inquires management about related party but management gives a vague oral explanation and refuses to provide written representation.

→ Conclusion

Oral representations are NOT sufficient for a limited review engagement. Therefore, as discussed above, CA pranav must take the necessary course of action and disclaim conclusion and withdraw if legally permitted.

4b
2 Marks

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08

Q4 (c)

BRSR Principle - 6 : "Protection & restoration of Environment" is most relevant.

4cStep1
1 Marks

The core elements are :

- Entity must have policies, procedures and plans to assess the adverse effects of its operations on the environment. It must consider the entire life cycle of product.
- Entity must contribute to Environmental Programs in line with India's commitment to various International Policies like Paris Agreement, National climate change Action Plan.
- Entity must measure performance on environmental parameters like prevention of pollution, waste generation, deforestation, energy emissions, etc.
- Entity must adopt and encourage industry best practices of Reduce, Reuse, Recycle to prevent over-exploitation.
- Entity must use an optimum mix of natural and man-made resources to ensure sustainability and prevent overuse.

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09

In given case,
MK steel has been generating waste including slag, dust, etc which is disposed without treatment leading to 50% increase in energy consumptions and carbon emissions.
It must report this in BRSR.

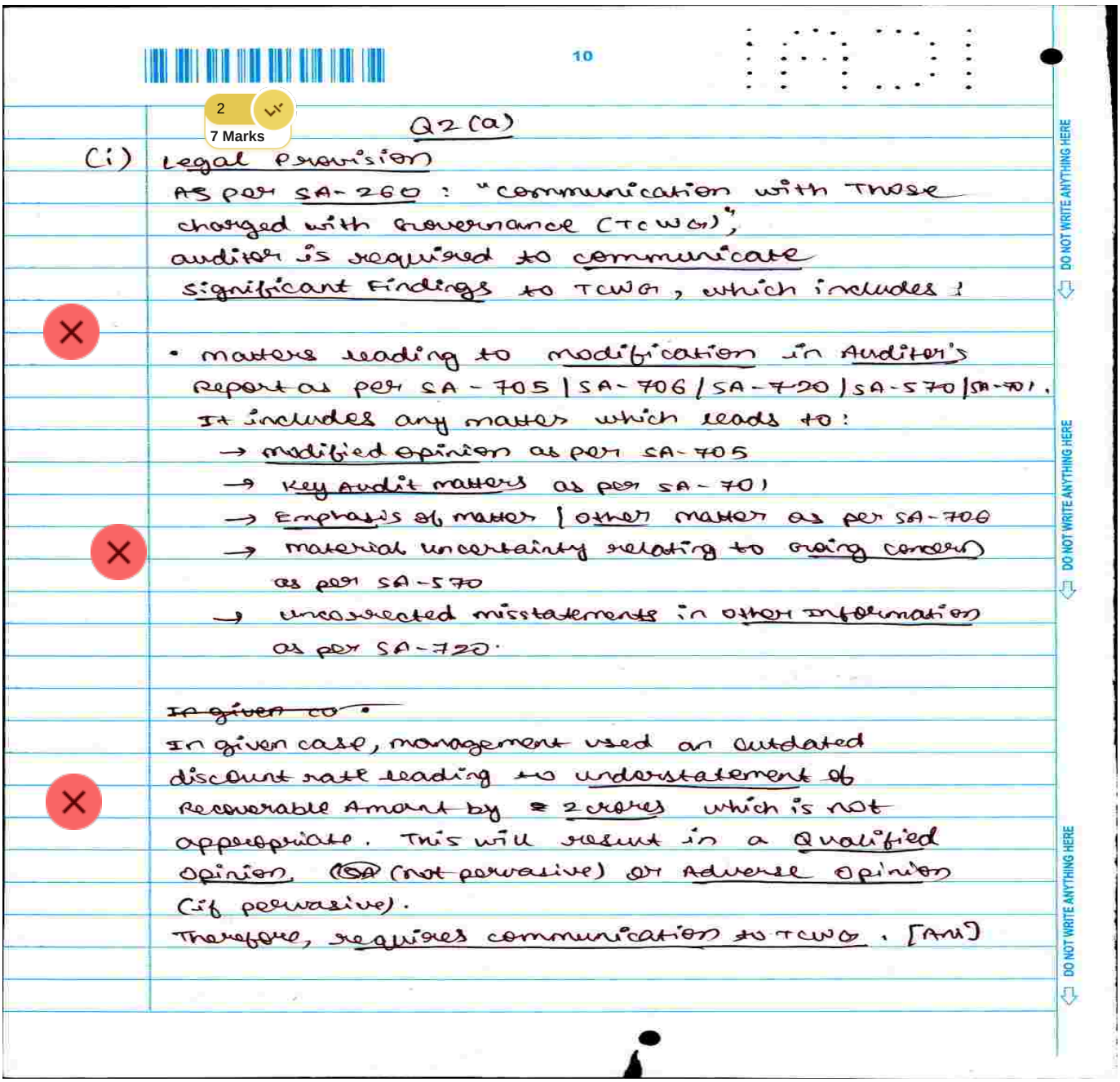
4cStep2 ✓
3 Marks

4c ✓
4 Marks

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10

2 7 Marks

Q2 (a)

(i) Legal Provision

As per SA-260 : "Communication with Those charged with Governance (TCWG)", auditor is required to communicate significant findings to TCWG, which includes :

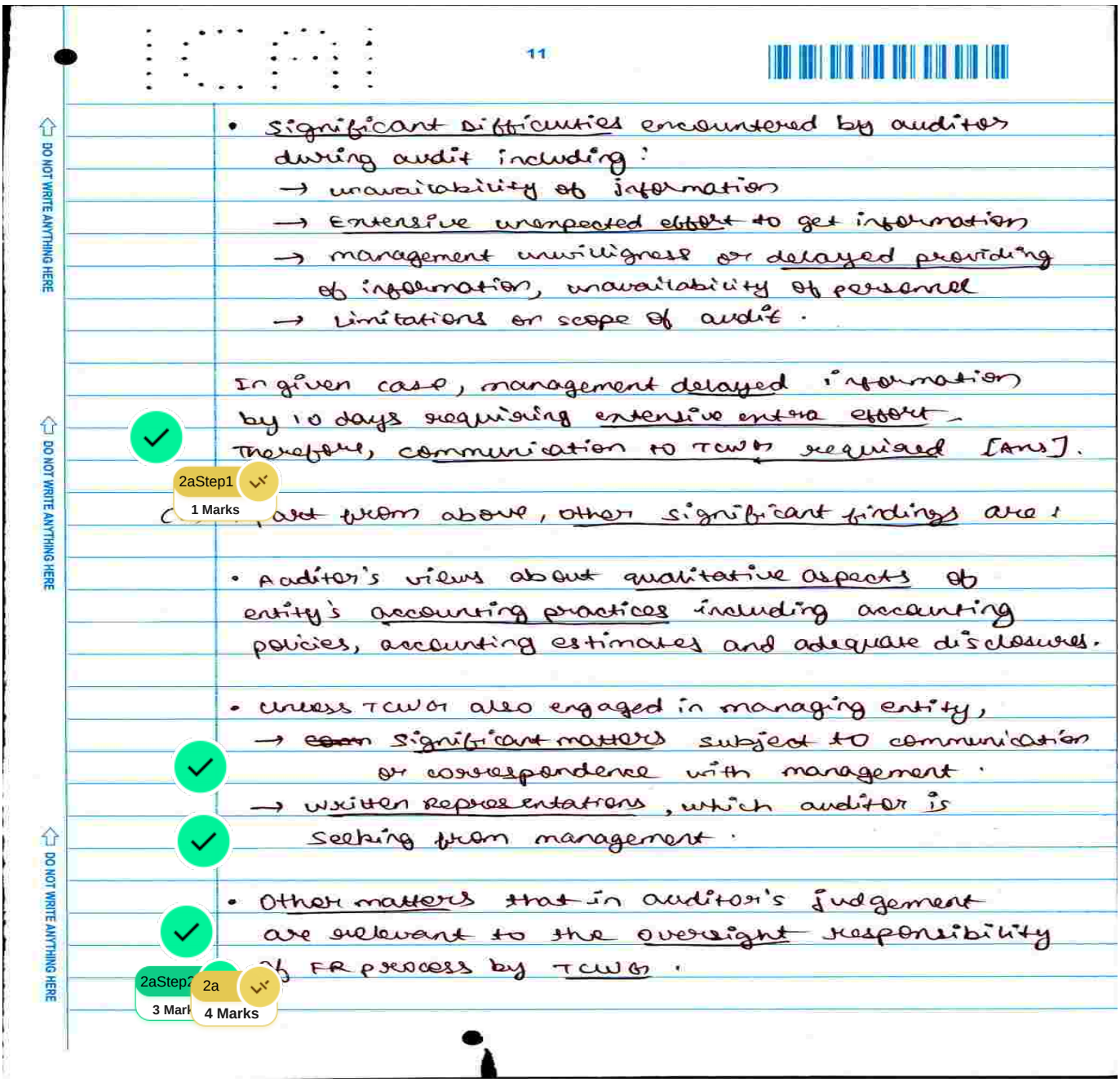
- matters leading to modification in Auditor's Report as per SA-705 / SA-706 / SA-720 / SA-570 / SA-701. It includes any matter which leads to :
  - → modified opinion as per SA-705
  - → Key Audit matters as per SA-701
  - → Emphasis of matter / other matter as per SA-706
  - → material uncertainty relating to going concern as per SA-570
  - → uncorrected misstatements in other information as per SA-720.

~~In given co~~ •

In given case, management used an outdated discount rate leading to understatement of Recoverable Amount by ₹ 2 crores which is not appropriate. This will result in a Qualified Opinion, (SA (not pervasive) or Adverse Opinion (if pervasive).

Therefore, requires communication to TCWG. [Ans]

DO NOT WRITE ANYTHING HERE



11

DO NOT WRITE ANYTHING HERE

- Significant difficulties encountered by auditor during audit including :
  - → unavailability of information
  - → Extensive unexpected effort to get information
  - → management unwillingness or delayed providing of information, unavailability of personnel
  - → Limitations on scope of audit.

In given case, management delayed information by 10 days requiring extensive extra effort. Therefore, communication to TCWG required [Ans].

2aStep1 1 Marks

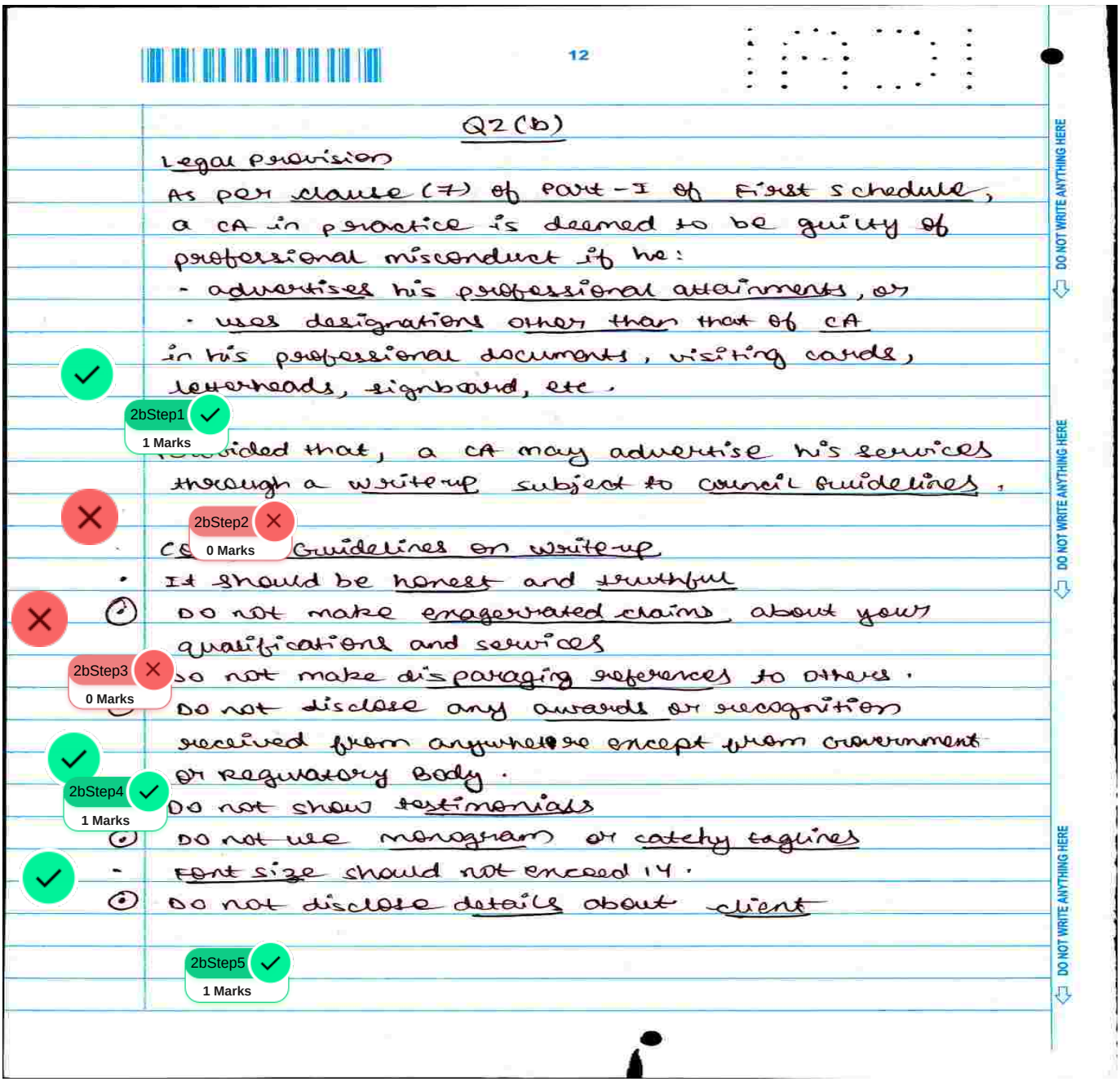
Apart from above, other significant findings are :

- Auditor's views about qualitative aspects of entity's accounting practices including accounting policies, accounting estimates and adequate disclosures.
- Unless TCWG also engaged in managing entity,
  - → Significant matters subject to communication or correspondence with management.
  - → written representations, which auditor is seeking from management.
- Other matters that in auditor's judgement are relevant to the oversight responsibility of FR process by TCWG.

2aStep2 3 Mark 2a 4 Marks

The Institute of Chartered Accountants of India

Code: FN3AP802425 **Total Marks:** 70
Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 48



12

Q2 (b)

Legal provision

As per clause (7) of Part - I of First Schedule, a CA in practice is deemed to be guilty of professional misconduct if he:

- advertises his professional attainments, or
- uses designations other than that of CA

in his professional documents, visiting cards, letterheads, signboard, etc.

2bStep1 ✓ 1 Marks

Provided that, a CA may advertise his services through a write-up subject to Council Guidelines.

2bStep2 ✗ 0 Marks

CA Guidelines on write-up

- It should be honest and truthful
- Do not make exaggerated claims about your qualifications and services
- Do not make disparaging references to others.
- Do not disclose any awards or recognition received from anywhere except from Government or Regulatory Body.
- Do not show testimonials
- Do not use monogram or catchy taglines
- Font size should not exceed 14.
- Do not disclose details about client

2bStep3 ✗ 0 Marks

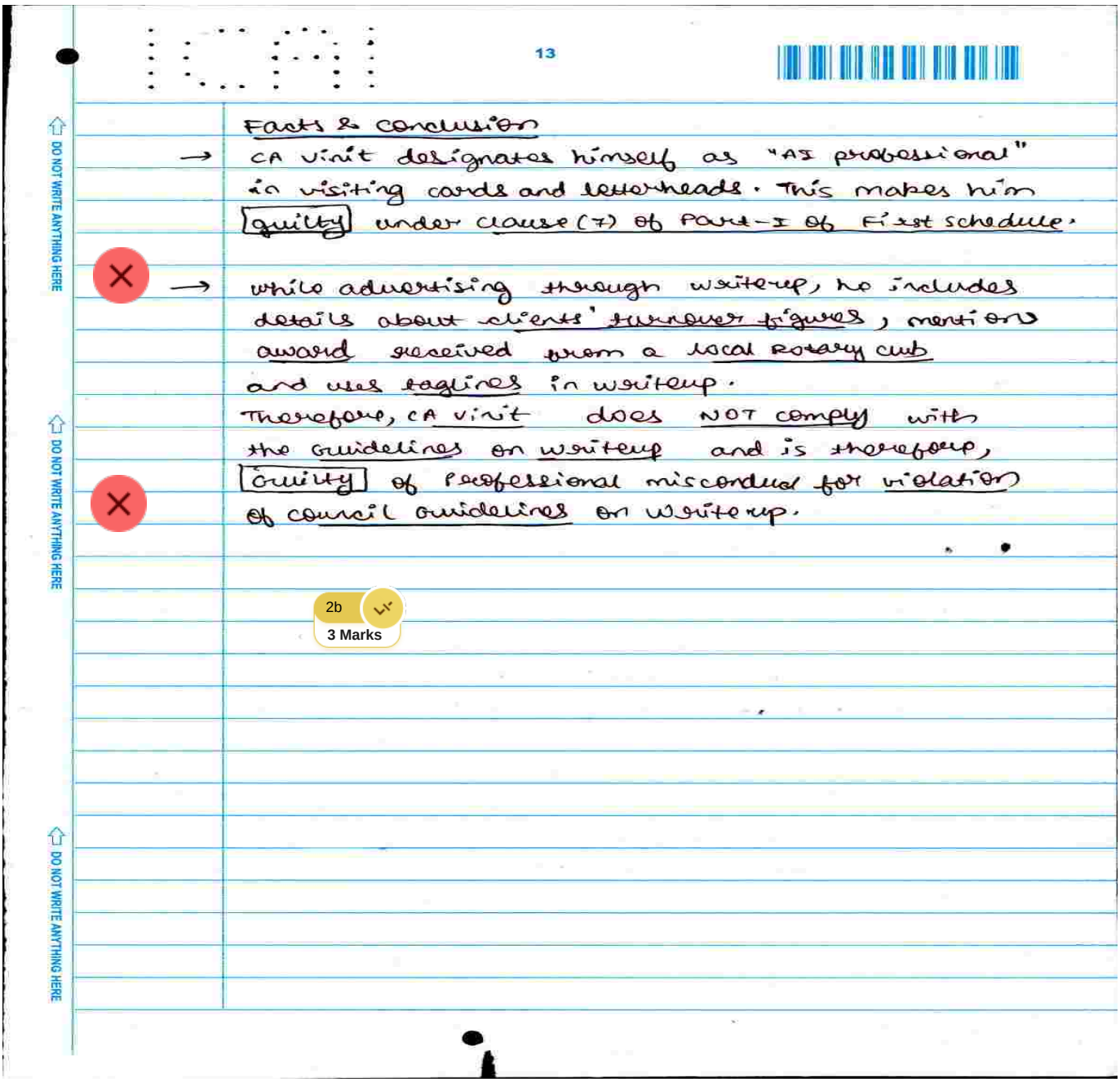
2bStep4 ✓ 1 Marks

2bStep5 ✓ 1 Marks

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13

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Facts & Conclusion

→ CA Vinit designates himself as "AI professional" in visiting cards and letterheads. This makes him [guilty] under clause (7) of Part-I of First schedule.

→ While advertising through writeup, he includes details about clients' turnover figures, mentions award received from a local Rotary club and uses taglines in writeup.
Therefore, CA Vinit does NOT comply with the guidelines on writeup and is therefore, [guilty] of professional misconduct for violation of council guidelines on writeup.

2b
3 Marks

Q2(c)

SA-315 : "Identification & Assessment of Risk of MMS in FS through understanding the Entity".

Key Aspects to evaluate

- Unauthorised access to data
- Unauthorised changes to data
- Unauthorised changes to programs / applications
- Failure to update programs / applications
- Risk of system downtime
- Cyber Attack Threats
- Inappropriate manual intervention
- System integration & System compatibility
- Regulatory compliances.

Conclusion.

Since G-Tech has integrated new platforms for revenue recognition, there is a significant Risk and additional procedures performed.

Since there was an attempt to unauthorised access 6 months prior, the same must be considered while evaluating the Risk of material misstatement in Financial statements.

2cStep1 0 Marks

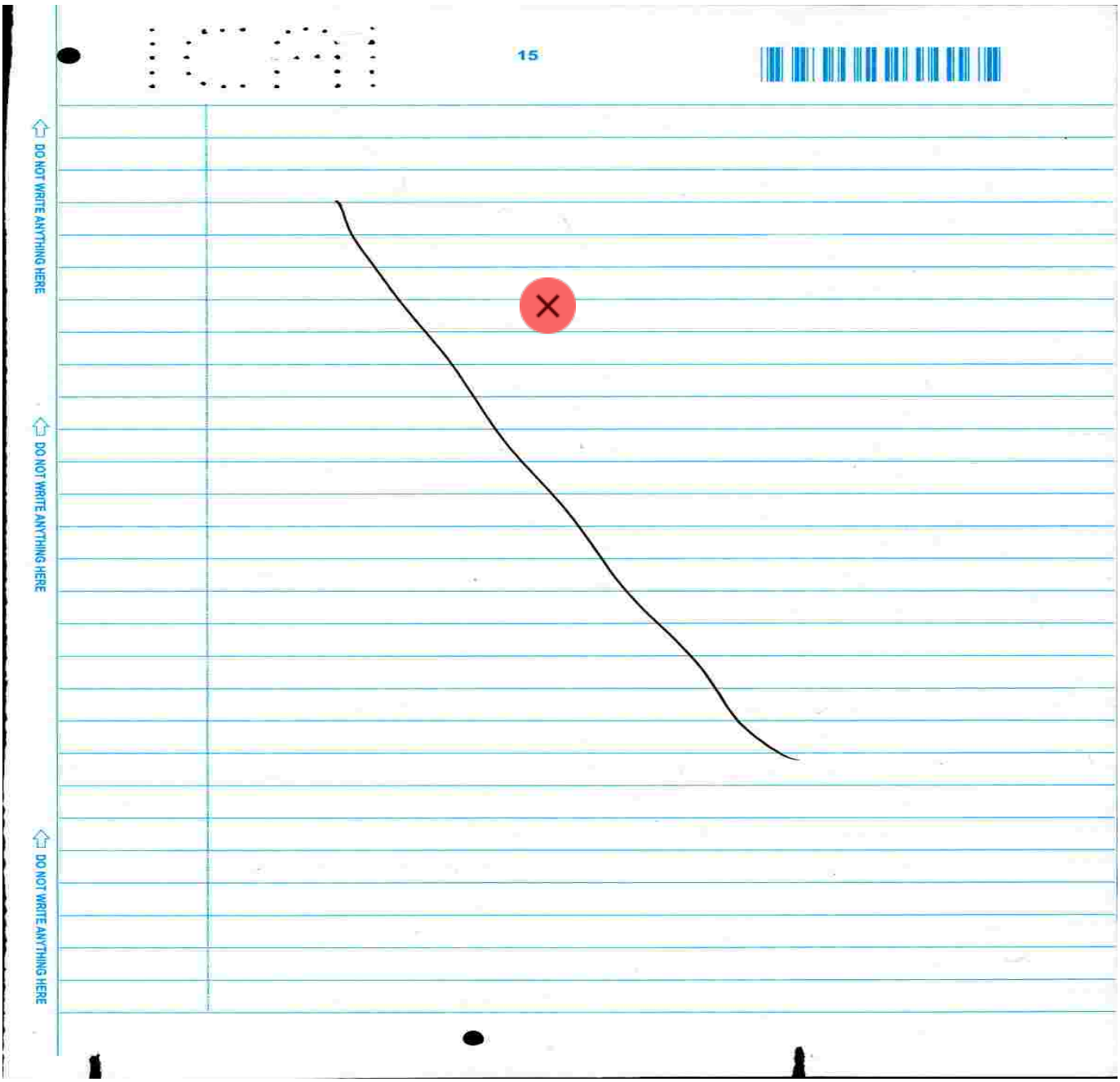
2c 0 Marks

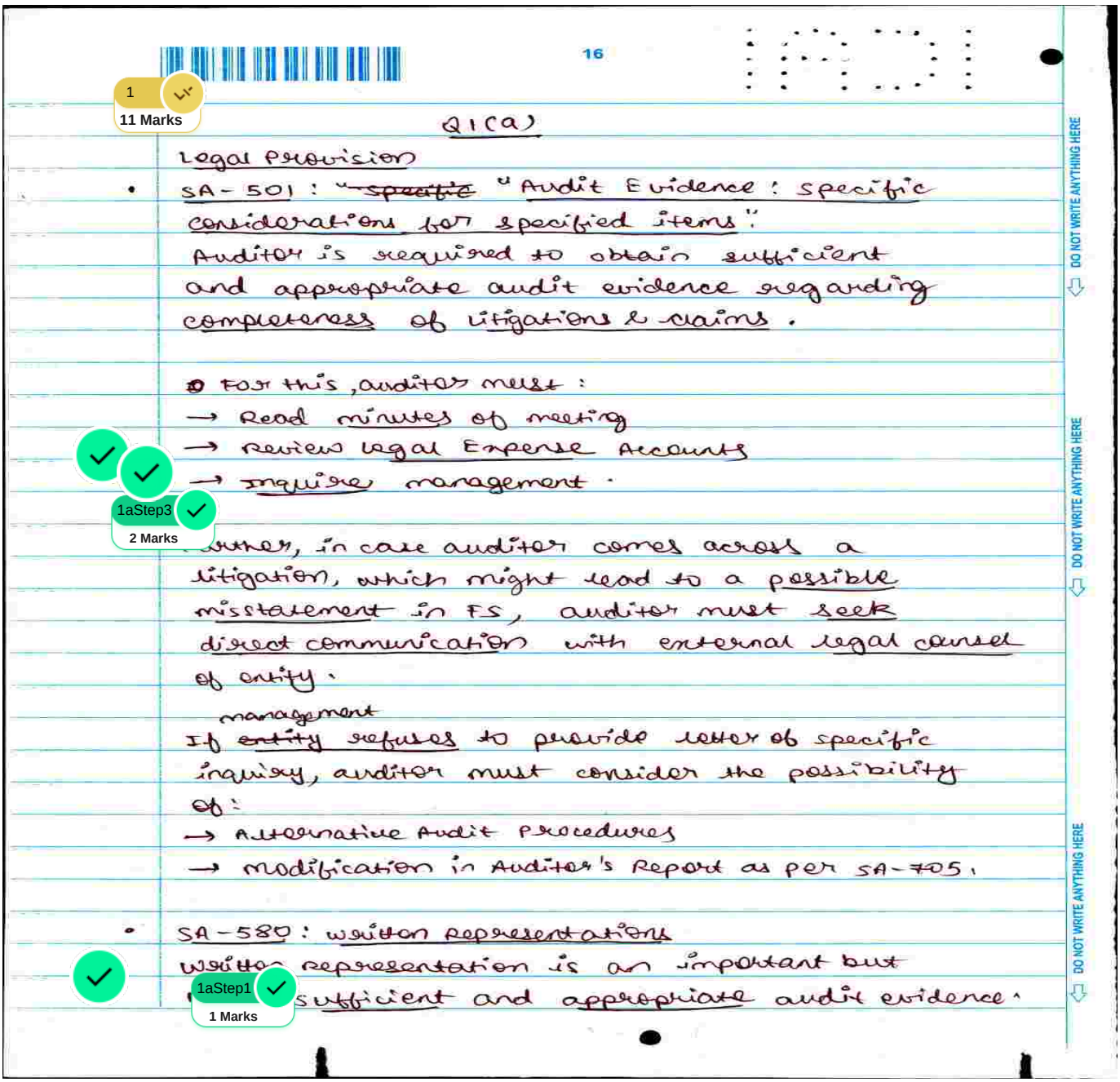
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The Institute of Chartered Accountants of India

Code: FN3AP802425 **Total Marks:** 70

Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 48





16

1
11 Marks

Q1(a)

Legal Provision

- SA-501 : "~~Specific~~ "Audit Evidence : Specific considerations for specified items":
  Auditor is required to obtain sufficient and appropriate audit evidence regarding completeness of litigations & claims.

For this, auditor must :
→ Read minutes of meeting
→ review legal Expense Accounts
→ Inquire management.

1aStep3
2 Marks

Further, in case auditor comes across a litigation, which might lead to a possible misstatement in FS, auditor must seek direct communication with external legal counsel of entity.

If ~~entity~~ management refuses to provide letter of specific inquiry, auditor must consider the possibility of :
→ Alternative Audit Procedures
→ modification in Auditor's Report as per SA-705.

- SA-580 : written representations
  Written representation is an important but sufficient and appropriate audit evidence.

1aStep1
1 Marks

DO NOT WRITE ANYTHING HERE

Facts & conclusion

- management's written representation is NOT sufficient in place of legal ~~perfor~~ confirmation because it only provides corroborative evidence and is NOT a sufficient & appropriate audit evidence.

- CA Rukma should perform following additional audit procedures :
  - → Research for any adverse media comment
  - → Inspect correspondence between entity and regulatory authorities (eg. Patent authority).
  - → Read minutes of board meeting
  - → Assess impact of litigation on the going concern aspect of buiness.

- Reporting implications as per SA-705 :
  In case CA Rukma is unable to obtain sufficient and appropriate audit evidence from alternative procedures, this is considered as a limitation in scope and CA Rukma must include :
  - → Disclaimer of opinion if it is material and pervasive
  - → Qualified opinion if it is material but not pervasive.

1aStep2 — 0 Marks

1aStep4 — 1 Marks

1a — 4 Marks

Q1(b)

Legal provisions

- SA-560 : "Subsequent Events"
  The auditor is required to ~~obtain sufficient and appropriate~~ perform audit procedures on events occurring after balance sheet date but before approval of FS to evaluate whether

  → adjustments made in case of Adjusting Events
  → disclosures made in case of Non-Adjusting Events

  as per applicable Financial Reporting Framework (Ind AS-24).

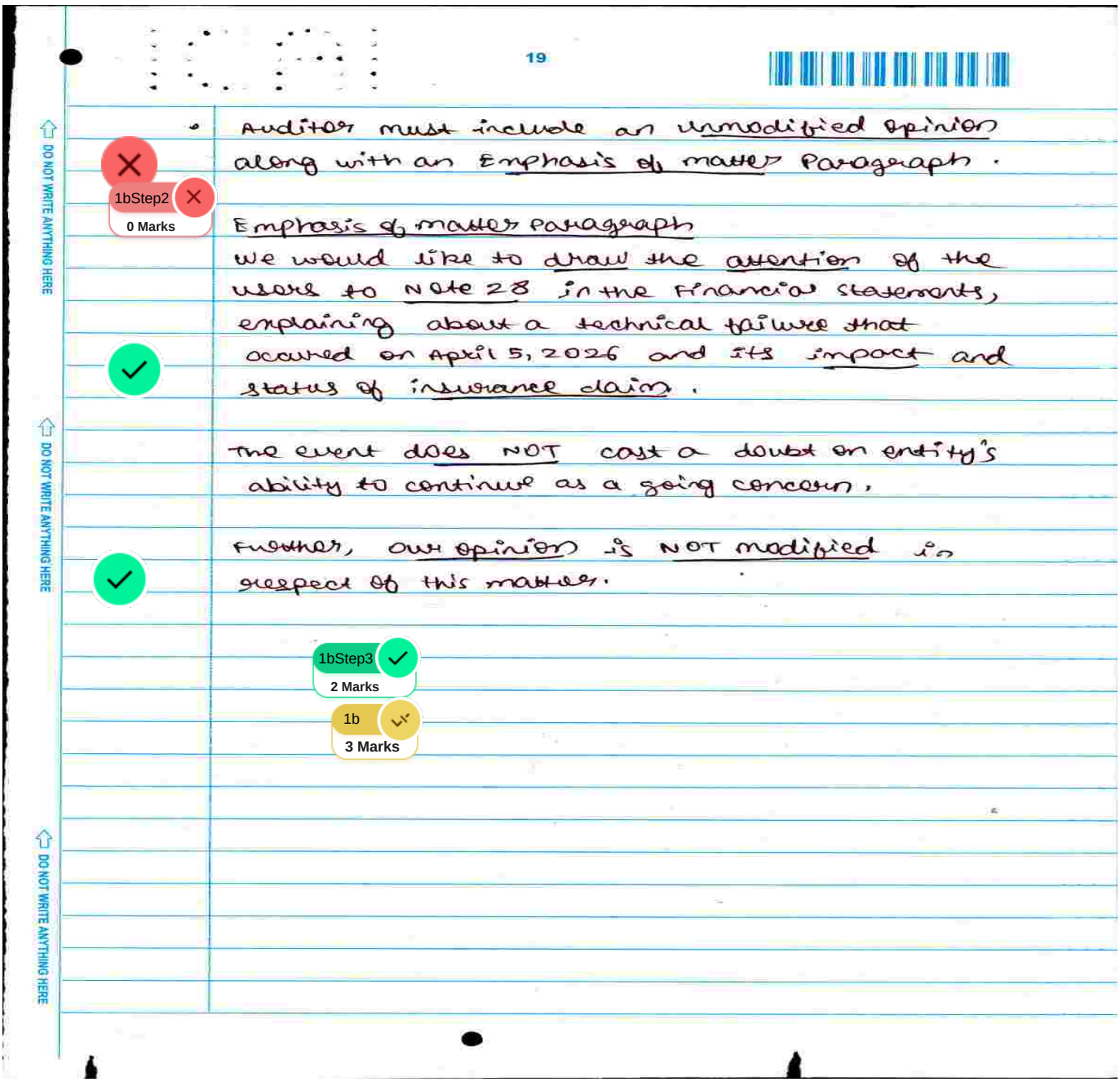
- SA-706 : "Emphasis of matter & other matter Paragraph in Independent Auditor's Report":
  An auditor is required to include an Emphasis of matter Paragraph to draw attention of users to a matter properly presented and disclosed in FS, which is fundamental to user's understanding.

1bStep1
1 Marks

Facts of case

- Technical failure on April 5, 2026 leading to spoilage worth ₹21 crore is a subsequent Event and since appropriate disclosures has been made, auditor is NOT required to modify opinion.

DO NOT WRITE ANYTHING HERE



19

Auditor must include an unmodified opinion along with an Emphasis of matter Paragraph.

1bStep2
0 Marks

Emphasis of matter paragraph

We would like to draw the attention of the users to Note 28 in the Financial Statements, explaining about a technical failure that occured on April 5, 2026 and its impact and status of insurance claim.

The event does NOT cast a doubt on entity's ability to continue as a going concern.

Further, our opinion is NOT modified in respect of this matter.

1bStep3
2 Marks

1b
3 Marks

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Q1(c).

~~Legal Provision~~

SRS - 4410 : "Compilation Engagement"

Compilation Engagement is an engagement where auditor applies his accounting and financial reporting expertise to assist management in preparation & presentation of FS as per applicable framework, and issues a report.

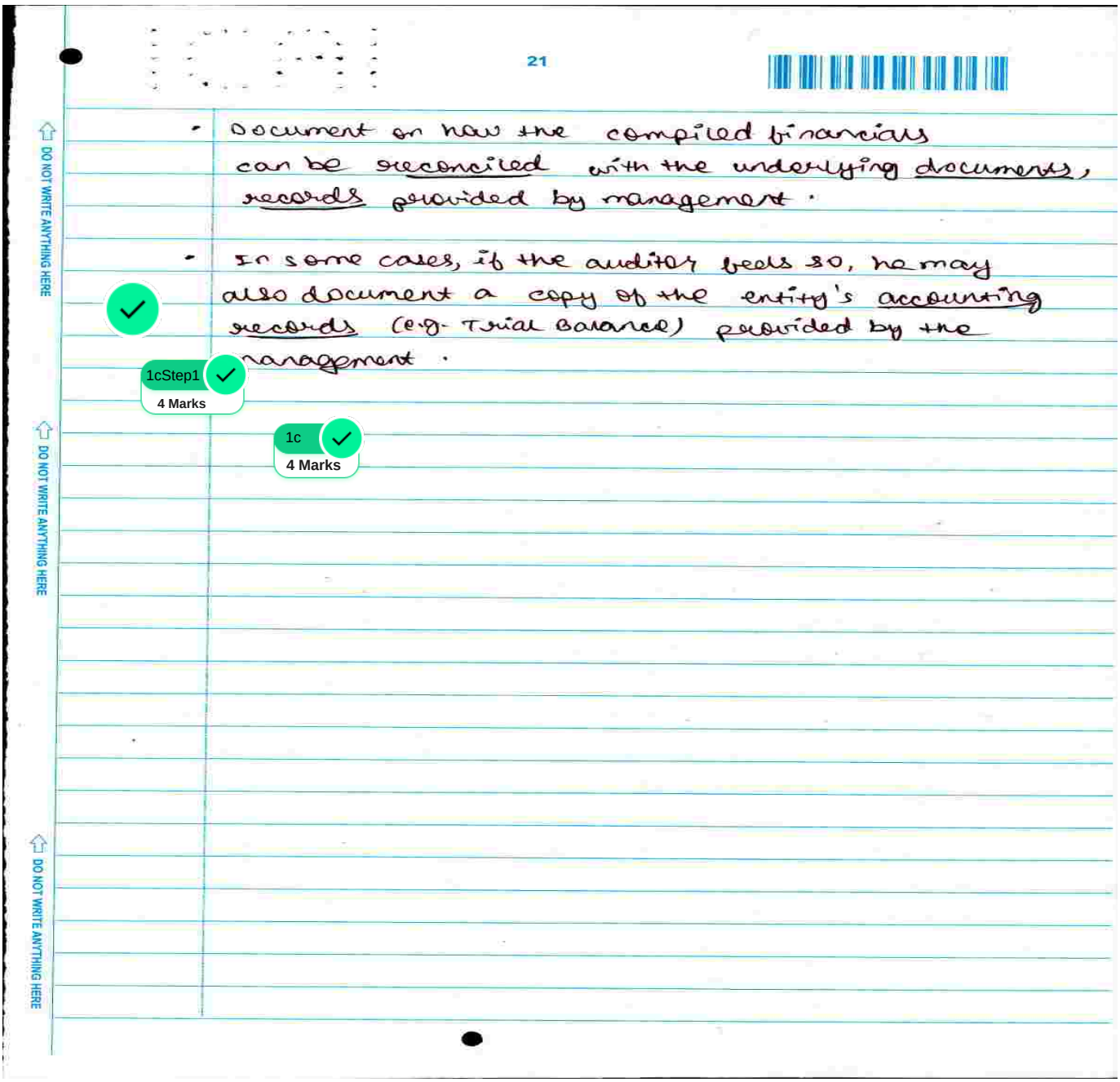
The documentation requirements are :

- Significant matters that arose during the engagement and were discussed with management ; the discussions that took place and conclusions reached.
  In given case, document the significant adjustments made to inventory valuation that was discussed between practicioner and management and the fact that it was resolved.
- copy of the final version of the compiled Financial Information, over which management has asserted and accepted its responsibility
- copy of the final version of the practicioner's compilation report.

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- Document on how the compiled financials can be reconciled with the underlying documents, records provided by management.

- In some cases, if the auditor feels so, he may also document a copy of the entity's accounting records (e.g. Trial Balance) provided by the management.

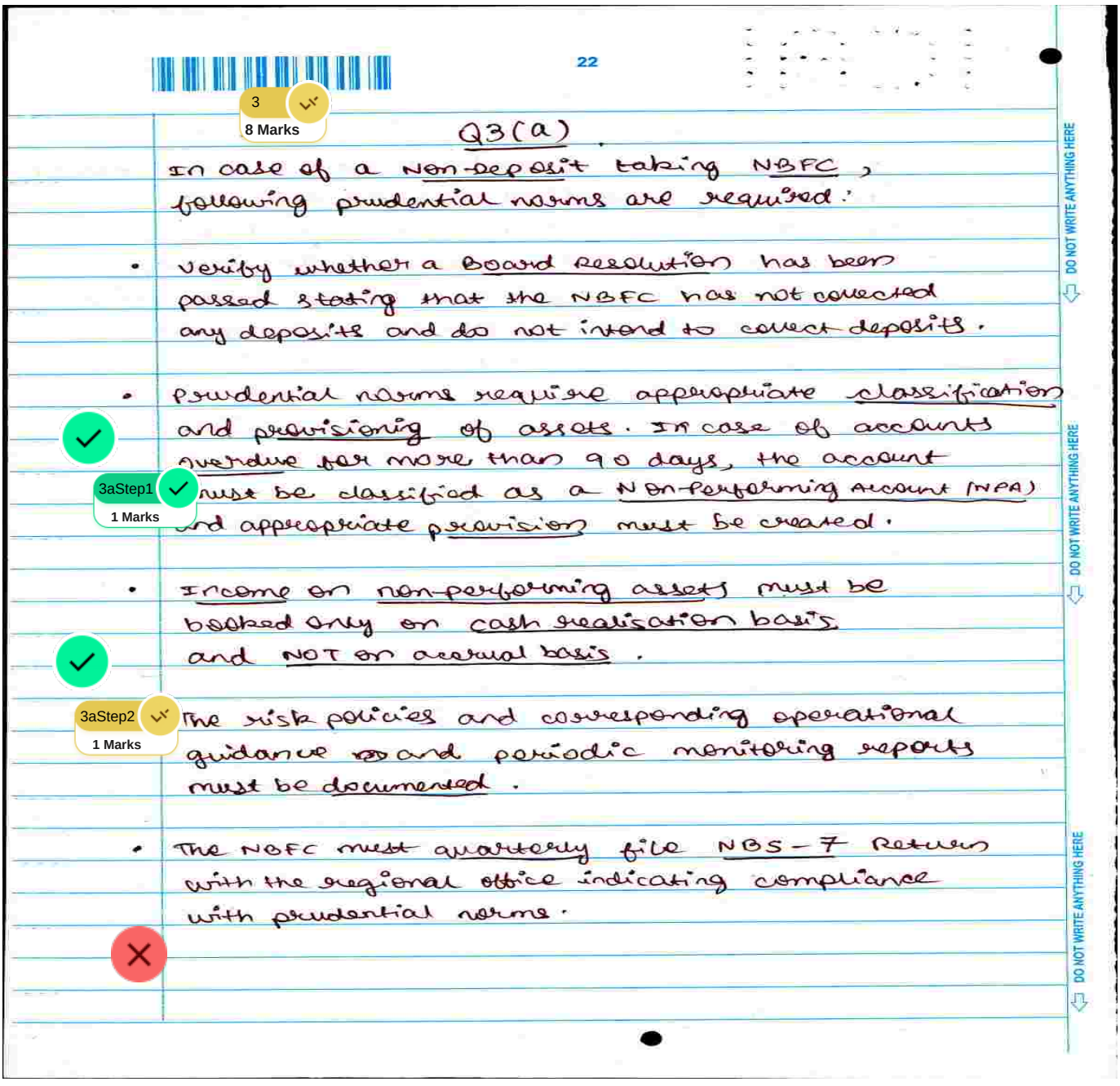
1cStep1
4 Marks

1c
4 Marks

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22

3
8 Marks

Q3(a)

In case of a Non-deposit taking NBFC, following prudential norms are required:

- Verify whether a Board Resolution has been passed stating that the NBFC has not collected any deposits and do not intend to collect deposits.
- Prudential norms require appropriate classification and provisioning of assets. In case of accounts overdue for more than 90 days, the account must be classified as a Non-Performing Account (NPA) and appropriate provision must be created.

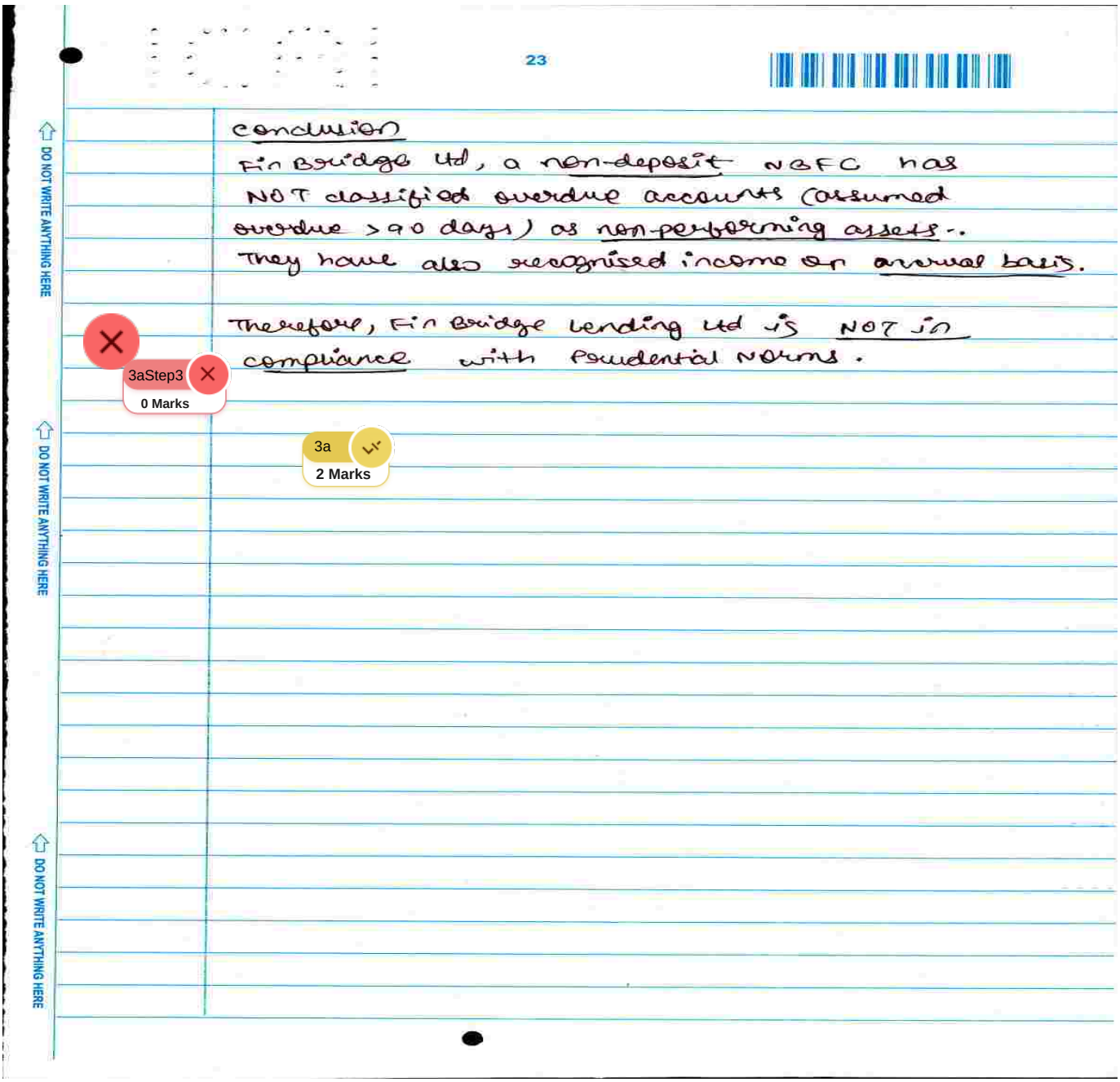
3aStep1
1 Marks

- Income on non-performing assets must be booked only on cash realisation basis and NOT on accrual basis.
- The risk policies and corresponding operational guidance and periodic monitoring reports must be documented.

3aStep2
1 Marks

- The NBFC must quarterly file NBS-7 Returns with the regional office indicating compliance with prudential norms.

DO NOT WRITE ANYTHING HERE



23

Conclusion

Fin Bridge Ltd, a non-deposit NBFC has NOT classified overdue accounts (assumed overdue > 90 days) as non-performing assets.

They have also recognised income on accrual basis.

Therefore, Fin Bridge Lending Ltd is NOT in compliance with Prudential Norms.

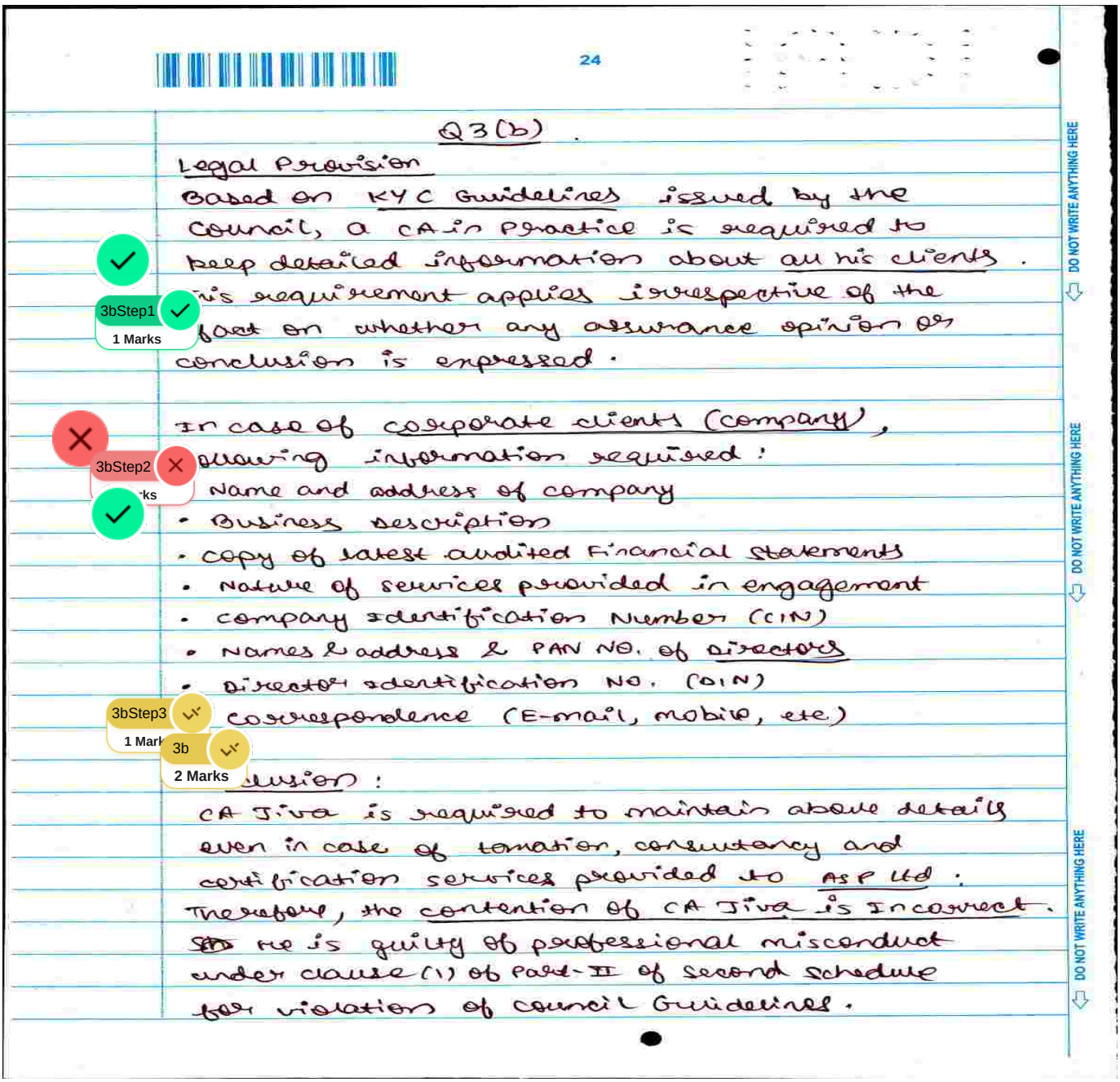
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3aStep3
0 Marks

3a
2 Marks



24

Q3(b).

Legal Provision

Based on KYC Guidelines issued by the Council, a CA in Practice is required to keep detailed information about all his clients. This requirement applies irrespective of the fact on whether any assurance opinion or conclusion is expressed.

3bStep1 1 Marks

In case of corporate clients (company), following information required:

- Name and address of company
- Business description
- Copy of latest audited Financial Statements
- Nature of services provided in engagement
- Company Identification Number (CIN)
- Names & address & PAN NO. of directors
- Director identification NO. (DIN)
- correspondence (E-mail, mobile, etc.)

3bStep2 ks

3bStep3 1 Mark

3b 2 Marks

Conclusion:

CA Jiva is required to maintain above details even in case of taxation, consultancy and certification services provided to ASP Ltd.

Therefore, the contention of CA Jiva is Incorrect. He is guilty of professional misconduct under clause (1) of Part-II of second schedule for violation of Council Guidelines.

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Q3(c)

- As per SA-570 : Auditor's Responsibilities relating to Going concern in audit of FS, if an auditor identifies events or conditions that cast a significant doubt on entity's ability to continue as going concern, auditor must perform additional procedures to confirm this, including consideration of mitigating factors, if any.

3cStep1 ✓ 1 Marks

- If a material uncertainty exists, auditor must evaluate feasibility of management's plans and evaluate whether appropriate disclosures have been made, when going concern basis of accounting is appropriate.

- If going concern basis is appropriate and management has made adequate disclosures relating to material uncertainty on entity's ability to continue as a going concern, auditor must :

→ Issue an unmodified opinion, AND

3cStep2 ✓ 1 Marks

→ Include a paragraph of "material uncertainty relating to Going concern":

- Draw attention of users to events/conditions that cast a significant doubt on entity's ability to continue as going concern.
- State that auditor's opinion is NOT modified.

3cStep3 ✓ 1 Marks

3cStep4 ✓ 1 Marks

Conclusion

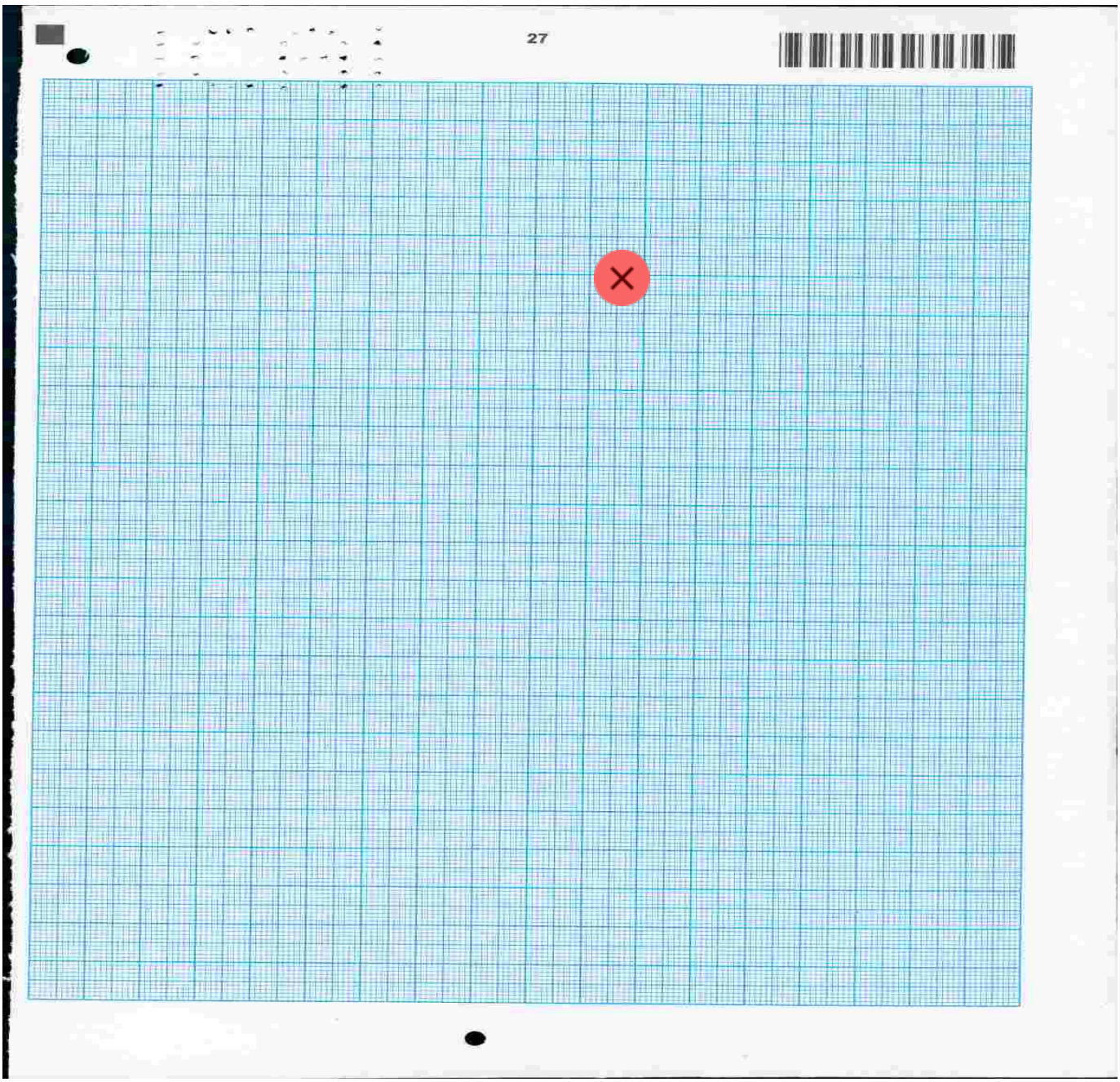
Since management expects that proposed merger will stabilise company's position, going concern appropriate.

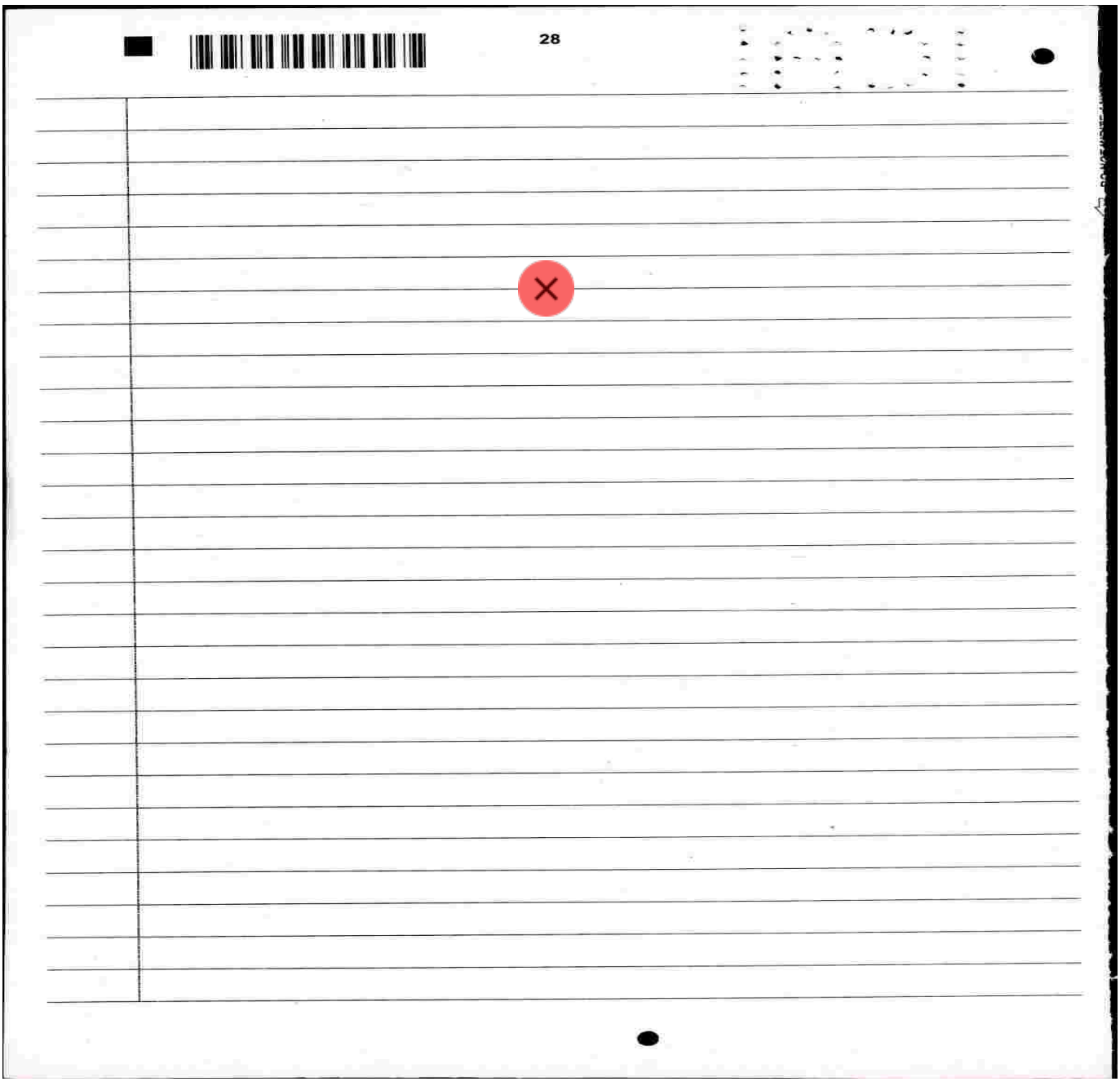
As management provides disclosures, auditor must report as discussed above :

- Unmodified opinion
- material uncertainty relating to Going concern Paragraph.

3c ✓
4 Marks

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27


28

3802425-01

Addl. Book No. 01

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

05 MAY 2026
MAY 2026

5 ✓ 12 Marks

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Q5(a).

As per Sec 143(12) of Companies Act, 2013, if an auditor, in course of performance of his duties as an auditor, identifies that a fraud, involving an amount, individually greater than equal to ₹ 1 crore is being or has been committed by the employees or officers against the company, auditor is required to report to CG in Form ADT-4.

However, where amount involved is less than ₹ 1 crore, auditor is required to only inform Board of Directors and Audit committee, indicating :

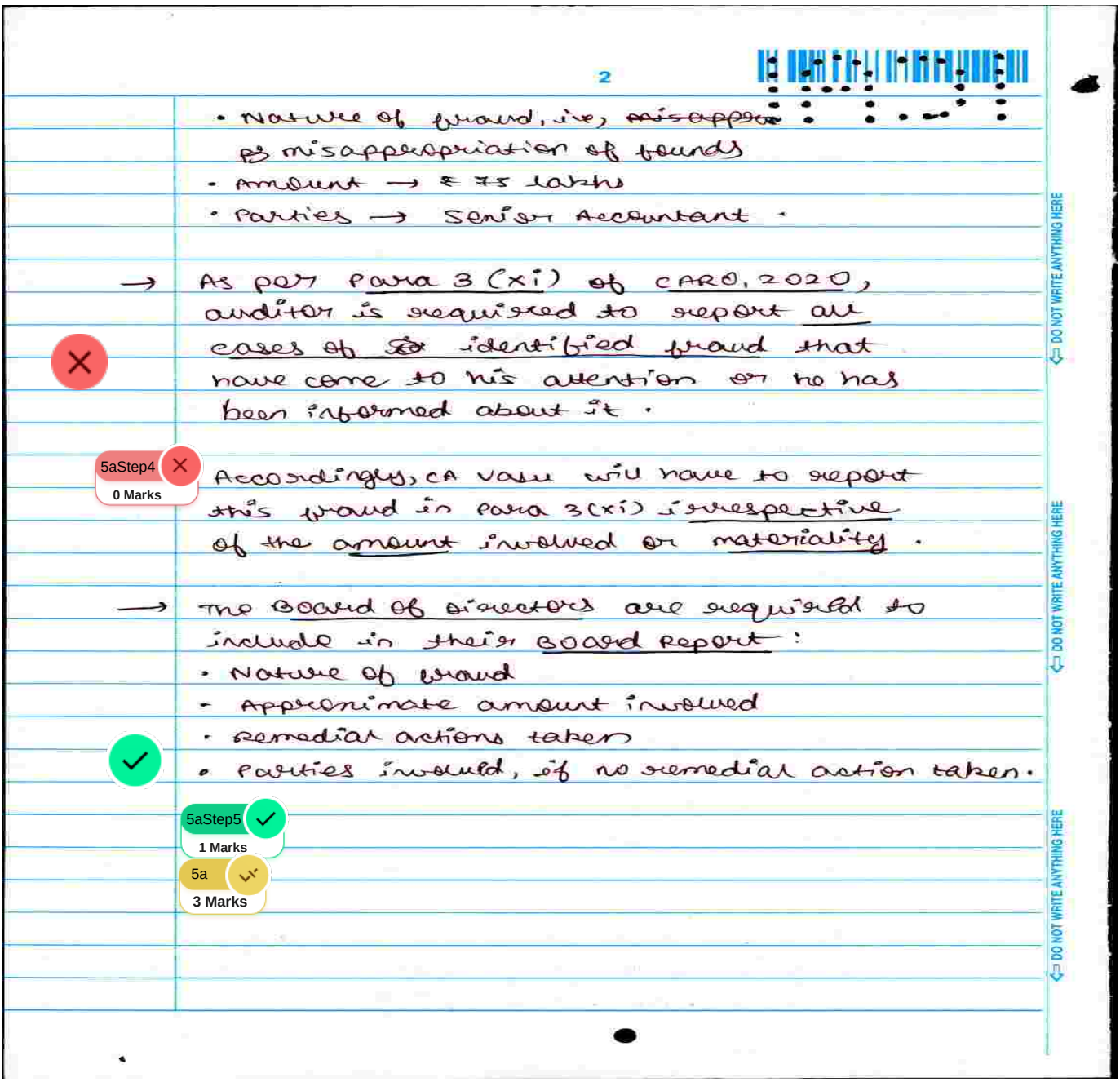
5aStep1 ✓ 1 Marks

5aStep2 ✗ 0 Marks

- Nature of Fraud
- Approximate amount involved
- Parties involved.

5aStep3 ✓ 1 Marks

In given case, as auditor identifies fraud involving < ₹ 1 crore, he must inform ~~MCA~~ BOD/AC !



2

- Nature of fraud, i.e., ~~misappr~~ misappropriation of funds
- Amount → ₹ 75 lakhs
- Parties → Senior Accountant.

→ As per para 3(xi) of CARO, 2020, auditor is required to report all cases of identified fraud that have come to his attention or he has been informed about it.

5aStep4 0 Marks

Accordingly, CA Vasu will have to report this fraud in para 3(xi) irrespective of the amount involved or materiality.

→ The Board of directors are required to include in their Board Report:

- Nature of fraud
- Approximate amount involved
- Remedial actions taken
- Parties involved, if no remedial action taken.

5aStep5 1 Marks

5a 3 Marks

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DO NOT WRITE ANYTHING HERE

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Q5(b).

i) Internal Auditor (CA Suba) is responsible for :

- Evaluating the effectiveness of internal controls
- Addressing the deficiencies in internal control in the Internal Audit Report.
- Monitoring and Follow-up of prior audit issues and whether appropriate remedial actions have been taken.

5bStep1 1 Marks

CA Subba is not responsible to resolve the deficiencies.

ii) The most appropriate report is 'Actions Taken Report' outlining following matters :

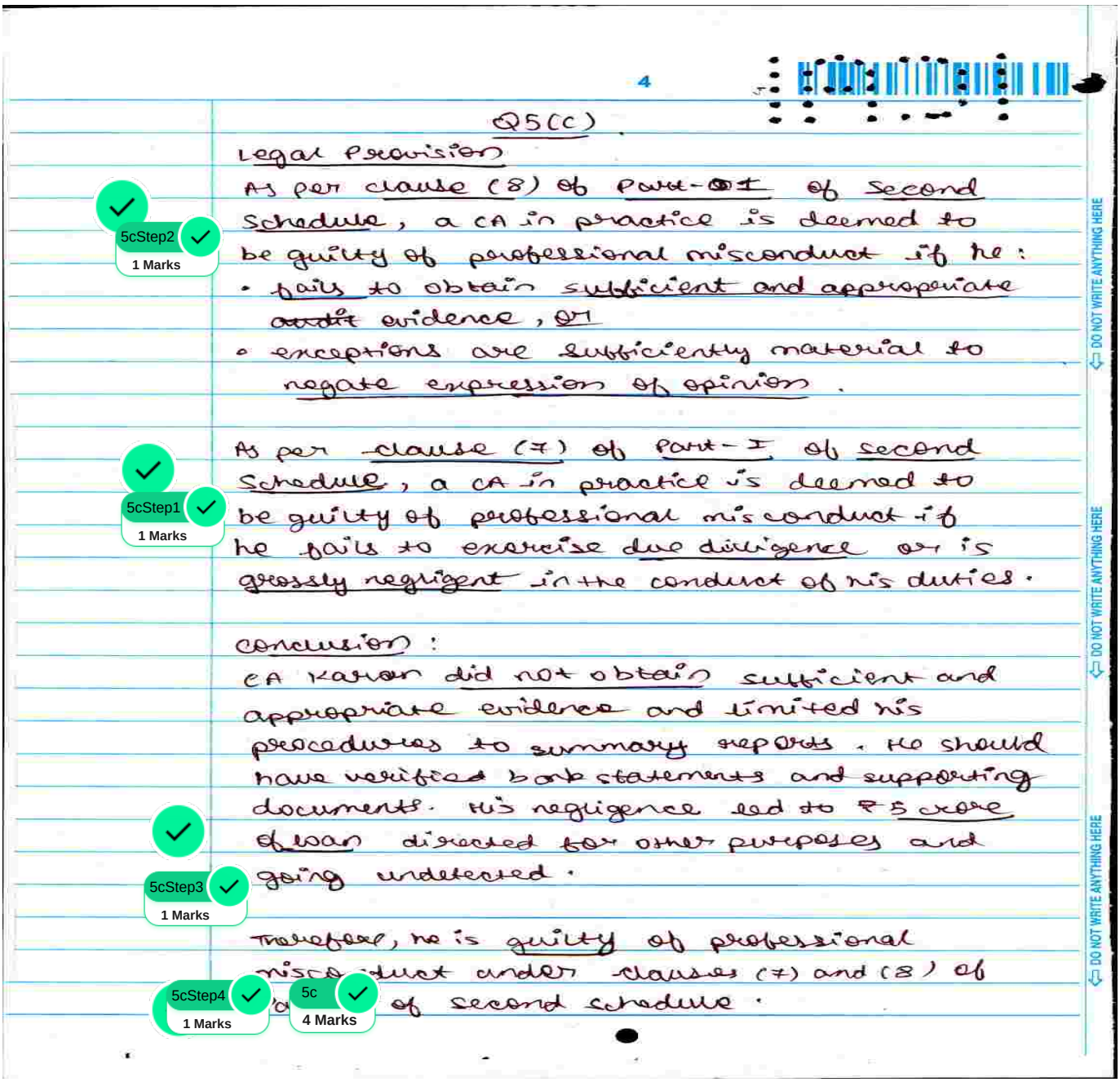
5bStep2 1 Marks

- Reference to prior audit report containing issues.
- The remedial action that had been agreed upon and the target date of implementation
- Status of issues (Implemented or Not Implemented)
- Residual Risk & Rating due to unresolved issues and unimplemented solutions.
- Highlight critical issues requiring immediate attention.

5bStep3 3 Ma 5b 5 Marks

Highlight long pending issues not resolved yet.

DO NOT WRITE ANYTHING HERE
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DO NOT WRITE ANYTHING HERE



4

Q5(c)

Legal Provision

As per clause (8) of Part-I of Second Schedule, a CA in practice is deemed to be guilty of professional misconduct if he:

- fails to obtain sufficient and appropriate ~~audit~~ evidence, or
- exceptions are sufficiently material to negate expression of opinion.

5cStep2 1 Marks

As per clause (7) of Part-I of Second Schedule, a CA in practice is deemed to be guilty of professional misconduct if he fails to exercise due diligence or is grossly negligent in the conduct of his duties.

5cStep1 1 Marks

Conclusion:

CA Karan did not obtain sufficient and appropriate evidence and limited his procedures to summary reports. He should have verified bank statements and supporting documents. His negligence led to ₹5 crore of loan diverted for other purposes and going undetected.

5cStep3 1 Marks

Therefore, he is guilty of professional misconduct under clauses (7) and (8) of ~~Part~~ of second schedule.

5cStep4 1 Marks

5c 4 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN3AP802425 **Total Marks:** 70
Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 48

Result Overview

Awarded Marks:48	Max Marks:70

Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 11/14)

Question No	Awarded Marks	Maximum Marks	Status
1	11	14	M
1a	4	5	M
1b	3	5	M
1c	4	4	M

Q2_Q6 (Score: 37/56)

Question No	Awarded Marks	Maximum Marks	Status
2	7	14	M
2a	4	5	M
2b	3	5	M
2c	0	4	M
3	8	14	M
3a	2	5	M

3b	2	5	M
3c	4	4	M
4	10	14	M
4a	4	5	M
4b	2	5	M
4c	4	4	M
5	12	14	M
5a	3	5	M
5b	5	5	M
5c	4	4	M
6	0	14	
6a	0	5	
6b	0	5	
6c	0	4	